

This is the phase where most first-time founders have to do it by themselves. They might seek some funds from friends and family but no external investors. Generally, no investor funds during this phase.

For example, you might be in a job and take out time to experiment with ideas. You do not expect any outright financial gain. The focus is now on selling the first unit. Even if the unit sells for Rs. 50 and you have to spend Rs.100 to make the first unit, you would still do it. This is because you need to understand if a market for your product exists and get some feedback.

During this phase, no one outside your friends and family group help you out. Unless you have demonstrated history in senior position.

You need to have something that works in the market, get some early traction, and then talk to external investors.

F

KS

